

RISING INTEREST RATES: ARE YOU READY?

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Welcome to the world of rising interest rates and soaring inflation. On May 4, the Reserve Bank of India increased the repo rate by 40 basis points, hinting at some trouble in the economy due to rising inflation. Let's take a look at the rate trend and its impact on your finances

BACK TO SCHOOL

What is repo rate? How does a rate increase affect you?

Repo rate is the rate of interest at which commercial banks borrow money from the RBI. An increase in repo rate raises their borrowing costs from the central bank, which in turn raises their lending rates. This has a cascading effect on the economy, visible in increased interest rates for other retail and commercial loans.

How does increasing repo rate contain inflation?

A rise in repo rate discourages spending as borrowing money becomes expensive for consumers and businesses. This helps control inflation.

How are interest rates correlated with food inflation?

There is a moderate to negative correlation—of -0.56—between the repo rate and food prices. Thus, an increase in interest rates brings food prices under control.

WITH THE RISE IN REPO RATE, THE INTEREST RATE ON A 20-YEAR HOME LOAN HAS JUMPED FROM 6.5 PER CENT TO 6.9 PER CENT, WITH FURTHER RAISES EXPECTED

PRINCIPAL LOAN AMOUNT	TOTAL INTEREST PAYMENT			
	At 6.5%	At 6.9%	At 7.3%*	At 7.7%*
30,00,000	23,68,127	25,39,016	27,12,540	28,88,639
50,00,000	39,46,878	42,31,694	45,20,899	48,14,398
1,00,00,000	78,93,755	84,63,387	90,41,799	96,28,797

EASY MONTHLY INSTALMENTS ON A 20-YEAR HOME LOAN, TOO, WILL INCREASE

PRINCIPAL LOAN AMOUNT	TOTAL EMI PAYMENT			
	At 6.5%	At 6.9%	At 7.3%*	At 7.7%*
30,00,000	22,367	23,079	23,802	24,536
50,00,000	37,279	38,465	39,670	40,893
1,00,00,000	74,557	76,931	79,341	81,787

*Projections; Figures in ₹; Source: BankBazaar.com

FIXED DEPOSITS LOOK APPEALING NOW AS SOME BANKS HAVE ALREADY INCREASED THEIR DEPOSIT RATES

Fixed deposit rates (1-3 years) in %

Kotak	5.45
Mahindra	5.75
Canara Bank	5.45
Axis Bank	5.7
Union Bank	5.4
Bank of India	5.05
Bank of Baroda	5.2

■ Mar 2022 ■ May 2022

*Data as on respective banks' website. For each year range, the maximum offered interest rate is considered; interest rate is for a normal fixed deposit amount below ₹1 crore. Compiled by BankBazaar on May 9, 2022



ANALYSTS EXPECT UP TO A 110-BASIS POINT RISE IN INTEREST RATES IN THE COMING MONTHS

Expected rate increase (basis points)

Kotak Institutional Equities	90-110*
SBI Ecowrap	75#
ICICI Securities	75**

*in 2022; #in FY23; **by September 2022